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SPENDING CUTS AND TAX REFORMS

Shrink Social Security

Social Security is not a savings system but a pay-as-you-go scheme, where taxes collected from today's workers fund the benefits of today's beneficiaries. This makes Social Security susceptible to adverse demographic shifts, as its financial stability relies on a favorable worker-to-beneficiary ratio. In essence, the program operates like a [Ponzi scheme](#): Paying benefits promised to earlier generations depends on new revenues from current and future workers. With an aging population, the [worker-to-beneficiary ratio](#) has been decreasing, making Social Security's finances increasingly unsustainable and placing a growing fiscal burden on workers. According to the Congressional Budget Office (CBO), the [payroll tax](#) would need to immediately increase by 4.3 percentage points, from 12.4 percent to 16.7 percent, to cover the program's long-term funding shortfall. This means an additional \$2,600 in annual payroll taxes for a median earner (\$61,000 annually), bringing their total payroll tax burden to more than \$10,000 each year.

Furthermore, [older generations](#) tend to be wealthier than the younger generations paying for their Social Security benefits. This creates a system in which the federal government effectively redistributes hard-earned dollars from poorer workers to wealthier retirees. Notably, high-earning retirees can receive up to \$60,000 in [Social Security benefits](#) annually, regardless of their other income and assets. Moreover, an excessively expensive [Social Security system](#) discourages private savings and offers poor returns for most workers, who would be better off investing their payroll taxes in stocks and bonds through private accounts.

Beyond these issues, Social Security is a significant contributor to the US fiscal imbalance. [Old Age and Survivors Insurance](#) (OASI)—the largest federal program—spent more than \$1.2 trillion in 2023 but collected only \$1.1 trillion in revenues, covering the \$130 billion shortfall by relying on new borrowing from redeeming the Treasury IOUs in the so-called [Social Security trust fund](#). These are not real savings. Every dollar that Social Security spends in excess of incoming

payroll taxes and taxes on benefits adds to the federal debt. Since 2010, the OASI program has added \$1.08 trillion to the federal debt and is projected to add [\\$4.1 trillion](#) more by 2033, when the program runs out of borrowing authority and confronts a 21 percent shortfall.

One cannot make significant headway balancing the federal budget without reforms to Social Security. Those reforms should focus on eliminating its fiscal shortfall and reducing the payroll tax burden on workers by slowing the growth in future benefits and reducing benefits for wealthier retirees.

The federal government should reform Social Security by doing the following:

- Slow the growth in future benefits. Under the current system, [initial benefits](#) are adjusted based on wage growth, which typically outpaces inflation. This causes initial Social Security benefits to rise faster than necessary to maintain purchasing power, providing absolute benefit increases to newer cohorts. Switching to a formula that indexes initial benefits to prices would preserve current benefits and protect their purchasing power while eliminating 85 percent of the program's long-term [funding shortfall](#).
- Modernize and reduce cost-of-living adjustments (COLAs). The Social Security Administration should replace the outdated Consumer Price Index for Urban Wage Earners and Clerical Workers (CPI-W) with the chained Consumer Price Index for All Urban Consumers (C-CPI-U) for calculating COLAs. This index covers a broader share of Americans and factors in the substitution effect, in which consumers opt for cheaper alternatives when the prices of goods rise. The [CBO estimates](#) that this adjustment would reduce Social Security spending by \$175 billion between 2024 and 2032. Congress should further consider eliminating COLAs for wealthier retirees, as was proposed in the [Social Security Reform Act of 2016](#). This change, in addition to switching to the C-CPI-U for all other

beneficiaries, would erase 37 percent of the program's long-term actuarial deficit.

- Raise eligibility ages. To better align with longer life expectancies and declining fertility rates, Social Security's early and full retirement ages should be increased by three years each, to 65 and 70, respectively, and indexed to increases in longevity afterward. This change would enhance intergenerational fairness, distributing the fiscal burdens of an aging population across generations. The [CBO has estimated](#) that increasing the full retirement age to 70 while keeping the early retirement age unchanged would reduce Social Security's costs by \$121 billion between 2024 and 2032.

- Transition to a flat benefit scheme. [Social Security should](#) return to its intended mission of alleviating old-age poverty. By transforming Social Security from an earnings-related scheme intended to replace income into a flat benefit scheme focused on poverty prevention, the government can focus income support on those individuals who need financial help the most while allowing most Americans to save for more of their personal retirement security in ways they deem best. Shifting to a predictable [flat benefit](#) based on years worked would return Social Security to its stated goal of preventing senior poverty and should reduce the program's costs, thereby reducing the payroll tax burden on workers.

Slash Tax Rates and Close Loopholes

The [Tax Cuts and Jobs Act \(TCJA\) of 2017](#) simplified and [cut taxes](#) for Americans at every income level.

The law boosted [domestic investment](#), wages, and economic growth by lowering the [corporate income tax rate](#) and allowing [full investment expensing](#). Despite these successes, more work is needed to minimize the tax code's burden on the economy. Congress will have the chance to improve the tax code further next year when the individual tax cuts and some of the most economically consequential business provisions expire.

The Cato Institute has a pro-growth, [detailed tax plan](#) that would cut tax rates to near 100-year lows and eliminate more than 50 economically distortionary tax credits, deductions, and exemptions.

Congress should do the following to cut taxes on investment, businesses, and individuals:

- Allow full expensing, which means a 100 percent first-year investment deduction for all short-lived assets and research and development.
- Allow [neutral cost recovery](#) by adjusting long-lived structures deductions for inflation and real rate of return.

- Cut the corporate income tax rate to 12 percent or lower, exempt all foreign income, and disregard foreign taxes paid as part of a fully territorial tax system.
- Repeal the Inflation Reduction Act's (IRA) corporate alternative minimum tax, or CAMT.
- Cut [individual tax rates](#) as low as possible and consolidate tax brackets.
- Cut the [capital gains and dividends tax rate](#) to 15 percent or lower. Repeal the net investment income tax and the IRA stock buyback tax.
- Create [Roth-style universal savings accounts](#) with a \$10,000 annual contribution limit.
- Repeal the alternative minimum tax, or AMT.
- Repeal estate, gift, and generation-skipping taxes.

Congress should do the following to improve the tax base by repealing more than \$1.4 trillion in annual tax loopholes, spending, and subsidies:

- [Repeal the IRA tax credits](#) and other subsidies for politically popular activities, including [low-income](#)

[housing, semiconductors](#), and [restaurant tip reporting](#).

- Repeal the individual and business deductions for [state and local taxes](#).
- [Eliminate itemized deductions](#), shifting all taxpayers to the simpler standard deduction.
- Repeal the almost two dozen tax provisions

[subsidizing children](#) and [education](#). Short of that, they should be [shrunk and simplified](#).

- Include [all nonwage fringe benefits](#) and government benefits in taxable income.
- Deny all interest deductions to individuals and businesses and exempt interest income from income taxes.

Reduce Federal Health Spending

The long-term federal debt problem is a health care problem. The [Congressional Budget Office](#) projects that only two categories of federal outlays will grow faster than gross domestic product (GDP): health care subsidies and interest payments on the debt. The former is therefore the primary driver of the latter.

Wasteful government health spending is rampant, because nobody spends other people's money as carefully as they spend their own. The best available data suggest that one-third of [Medicare spending](#) is pure waste (i.e., that Congress could cut Medicare spending by one-third without affecting overall health). Medicare sets and pays [excessive prices](#) for medical care. [Spending on patients](#) age 65 and up is more out of line with international norms than spending on patients below age 65. Medicare also has a large negative impact on [health care quality](#).

Obamacare promised to make health care "affordable." In reality, [taxpayers are subsidizing](#) enrollees earning up to \$600,000 per year. Biden economic adviser Michael Geruso admits that [Obamacare rations care](#) for the sick and that "currently healthy consumers cannot be adequately insured."

Pay-as-you-go funding of veterans benefits allows Congress to kick those costs into the future, which enables them to ignore the largest fiscal cost of putting US troops' lives at risk. Pre-funding and privatizing [veterans benefits](#) would force policymakers to justify those costs at the moment they are putting US lives at risk.

The [House Republican Study Committee](#) proposes to cut federal health spending 26 percent below baseline over the

next decade.

The following reforms would cut federal health spending 49 percent below baseline over the same period and erase the primary deficit by 2027, even after increasing military pay \$100 billion per year (to pre-fund veterans benefits). These reforms would deal a 100 percent cut to high-cost, low-quality health care providers and to the fraudulent schemes of providers and state officials. They would make health care more accessible and give states flexibility to meet the needs of patients who cannot afford the medical care they need.

The federal government should do the following:

- Cut Medicare spending by one-third; give Medicare's remaining budget directly to enrollees as cash; give poorer and sicker enrollees larger "Medicare checks" than healthier and wealthier enrollees; and allow overall Medicare spending to grow no faster than GDP.
- Adopt the Republican Study Committee proposal for Medicaid and Children's Health Insurance Program spending in 2025 and give those funds to states as unrestricted, zero-growth block grants.
- Repeal what's left of the Patient Protection and Affordable Care Act of 2010 (i.e., Obamacare), including its grants to states and subsidies to private insurance companies.
- Turn the Veterans Health Administration and its assets into a private, shareholder-owned corporation; give those \$36 billion or so in shares away to current veterans; use the Department of Veterans Affairs's

existing budget to give current veterans annual, risk-adjusted subsidies sufficient to purchase private life, disability, and health insurance at actuarially fair premiums; increase military pay to enable active-duty

military personnel to purchase such insurance that pays benefits once they leave active duty; have that additional military pay rise and fall automatically with those actuarially fair “veterans benefits” premiums.

Streamline National Security Spending

Including Department of Energy spending on nuclear weapons, Veterans Affairs spending, and other items, US national security spending costs more than \$1 trillion per year, constituting the second- or third-largest component of federal spending by function, depending on how one counts. Recurring off-budget “emergencies” like US aid to Ukraine increase this figure. Unless a miracle happens with reforms to curb entitlement spending or an increase in economic growth, any government intent on eradicating budget deficits must put security spending on the table for cuts.

National security spending is a morass of extravagance and convulsion. Massive bureaucracies ossify and contribute to [national decline](#) over time. Attempting to cut security spending by chasing the phantoms of “waste, fraud, and abuse” will not produce real change. The US military is tasked with administering vast swaths of the globe. No bureaucracy could fulfill this mission efficiently. Accordingly, efficiency should not be the goal of defense cuts. Sound strategy and fairness should be. As of 2020, the United States accounted for 63 percent of allied [defense spending](#) but only 37 percent of allied gross domestic product. Whether this is efficient or not, it reflects a transfer payment from US taxpayers to taxpayers in allied countries. Such an arrangement is unfair to present and future American taxpayers.

US [foreign policy](#) is both expensive and insolvent. The foreign-policy establishment has pursued policies that throw away America’s greatest advantage: geography. Great oceans remove the United States from most military threats. As President-elect Trump once put it, when it comes to the Ukraine war, “It has a bigger impact on [Europeans], because of location, because we have an ocean in between.” Viewing

this great asset as a liability, US policy has put Americans on the front line in Europe, the Middle East, and Asia, rather than acting as an [offshore balancer](#) in those regions.

The [National Defense Strategy Commission](#) has argued that properly resourcing US strategy would require hundreds of billions of dollars in additional security spending per year, financed through unspecified “additional taxes and reforms to entitlement spending.” However, President-elect Trump has made it clear that he does not want to increase taxes or make large cuts to entitlement programs.

Ultimately, a change of strategy is required: Americans need a military that can defend our people, not run the world. If the Trump administration chooses to change US objectives in this direction, it can save hundreds of billions each year and keep our people safer. Current US policy perversely aims at putting Americans right in the face of threats, real and imagined, across the globe. The insolvency of US defense strategy, combined with the ruin the US foreign policy elite has produced over recent decades, suggests that American ambition in the world should be reduced.

Accordingly, the federal government should do the following:

- Resume the withdrawal of US troops from Germany that began under the first Trump administration but never completed. The United States should bring those troops home and then use attrition to shrink the ground forces. The [US mission in Europe](#) costs more than \$100 billion per year.
- Shrink active-duty [Army end-strength](#) by roughly 25 percent. A strategy that befits an insular maritime

republic would rely less heavily on ground forces. Allies that require large ground forces should be forced to field those forces themselves.

- Abolish the [combatant commands](#) (COCOMs). COCOMs have become costly lobbies for intervention that do little to make US forces more combat-effective. [US Central Command](#) in particular has distinguished

itself in recent decades by losing wars to the Taliban and Iraqi insurgents at a cost of over \$8 trillion.

- Shrink the civilian [workforce at the Pentagon](#). The Defense Department employs nearly 800,000 civilians and recently failed its seventh consecutive audit. A military that does less and employs fewer warfighters requires less administrative bloat.

Expel the Federal Government from Higher Education

Education is rightly considered primarily a state and local issue, but in recent decades, the federal government's involvement in higher education has expanded dramatically. That should change. The federal government should be removed entirely from regulating and funding higher education.

Short of that, Congress should do the following:

- Eliminate federal financial aid programs. If that cannot be achieved, eliminate the current government-as-lender system, saving \$200 billion over 10 years.
- Eliminate campus-based aid programs.
- Eliminate the [Federal Supplemental Educational Opportunity Grant](#) and reallocate funds to Pell Grants if the program can't be canceled outright, saving \$900 million per year.
- Eliminate or reduce the federal contribution to [Work-Study](#), which is currently at 20 percent, and reallocate to Pell Grants if the funding can't be canceled outright, saving up to \$1.2 billion per year.
- Eliminate [Teacher Education Assistance for College and Higher Education Grants](#), saving \$66 million per year.
- Eliminate or cut the various "assistance for students" programs (e.g., [TRIO](#), saving \$1.2 billion

per year; [Gaining Early Awareness and Readiness for Undergraduate Programs](#), saving \$388 million per year; [Fund for the Improvement of Postsecondary Education](#), saving \$177 million per year; and [community project funding](#), saving \$202 million per year).

- Repeal [Housing and Facilities Loans](#) (Higher Education Act, Section 121).
- Eliminate [Aid for Institutional Development](#) and related funding, saving up to \$2 billion per year.
- Break the accreditation cartel by [introducing alternative pathways](#) for accreditor recognition, such as allowing an independent agency and/or a coalition of states to recognize new accreditors.
- Streamline requirements for accreditors to reduce duplication of state and federal oversight, such as relieving accreditors from monitoring facilities as states already do this.
- Eliminate science funding. If that cannot be achieved, cap the overhead percentage on research grants and contracts.
- Eliminate funding for all diversity, equity, and inclusion, or DEI-related projects in education.
- Remove all federal funding for universities that have speech codes more restrictive than the First Amendment.

Cut Federal K–12 Education Spending Down to Size

The Constitution gives the federal government specific, enumerated powers, none of which include education. Education is a matter reserved to the states or people, and all federal K–12 programs and activities that are national in scope should be eliminated. Where the feds can, ultimately, remain in K–12 education is in delivering education in Washington, DC, in federal installations and territories, and to American Indians on tribal reservations. It also has a role in civil rights enforcement under the Fourteenth Amendment, but that job should be in the US Department of Justice, not the US Department of Education’s Office of Civil Rights. Finally, Impact Aid is justified for school districts adversely affected by federal activities—in particular, districts that have less property tax revenue than they otherwise would due to the presence of nontaxable federal land. *All other federal K–12 spending should end.*

If spending must be targeted one pot at a time, what follows are programs budgeted at \$1 billion or more, to increase bang for the cut. But all federal K–12 initiatives, except those previously mentioned, should be ended.

Congress should do the following:

- Eliminate the [Department of Education](#).
- Phase out [Title I grants to local educational agencies](#). Title I takes money from taxpayers, reshuffles it to move it to lower-income areas, and burns a bunch of that money in bureaucratic waste in the process. The federal government does not have constitutional authority for such spending, and the grants are a relatively small amount of overall K–12 funding. States also have been moving toward funding

equalization on their own.

- End [Grants to States](#) under the Individuals with Disabilities Education Act. While assisting students with disabilities is laudable, federal funding could [encourage overdiagnosis](#) of disabilities, and the proper federal role is to ensure that states and districts do not discriminate against children with disabilities, not to fund services.
- Eliminate the [21st Century Community Learning Centers](#) program, which is ineffective and damaging.
- End [Supporting Effective Instruction State Grants](#), a program that essentially provides professional development funding that districts can and do pay for.
- Get rid of [Student Support and Academic Enrichment grants](#), which are poorly focused, redundant, and formula-funded, burning off money in bureaucratic compliance costs.
- Eliminate [Career and Technical Education grant programs](#), which overlap secondary and postsecondary education. There is no need for federal involvement in technical education, which states, districts, and industry should handle.
- As programs are cut, so too should the budget for [program administrators](#) at the Department of Education.
- Eliminate [Head Start](#), which “gold standard” research (random assignment) has indicated produces [few lasting impacts](#) on children by third grade, and negatives are more frequent than positives.
- Eliminate [Early Head Start](#), which has similarly been found [largely ineffective](#) over time.

Cut Federal Subsidies

The federal government runs more than 2,400 [subsidy programs](#), twice as many as four decades ago. The [official guide](#) to federal subsidy and benefit programs is 3,678 pages. The government has expanded into many areas that should be the responsibility of the states, businesses, charities, and individuals.

The government subsidizes agriculture, aviation, broadband, energy, food stamps, housing, manufacturing, passenger rail, student loans, and many other things. Each subsidy burdens taxpayers, generates a bureaucracy, spawns lobby groups, and generates market inefficiencies.

Individuals and businesses hooked on subsidies lose their independence and have less incentive to help themselves. The government subsidizes low-income individuals with programs such as food stamps and high-income individuals with programs such as farm subsidies. The government subsidizes many industries, which misallocates resources and stifles innovation. This is called corporate welfare or industrial policy.

The federal government should do the following to cut subsidies to individuals and businesses:

- Eliminate energy-spending subsidies. The US Department of Energy spends about \$20 billion a year on applied research subsidies for renewables, fossil fuels, nuclear, and electricity, in addition to the department's basic science budget. Policymakers should end the applied research subsidies.
- End [farm subsidies](#). Short of that, Congress should at least cut aid to wealthy farmers. About 60 percent of the subsidies from the three largest programs go to the top 10 percent of farms. Since annual farm subsidies fluctuate between about \$15 billion to \$30 billion per year, cutting high-end benefits would save billions of dollars annually.
- Eliminate the Supplemental Nutrition Assistance Program (SNAP). SNAP costs taxpayers more than \$100 billion a year. The program—also called food stamps—is obsolete because the nutrition problem

for poor Americans today is not a lack of calories but soaring obesity. If eliminating the program is infeasible, policymakers should convert SNAP to a block grant, reduce spending, and free the states from federal regulations.

- End [junk food subsidies](#). SNAP should be eliminated outright. But one area is especially ripe for cutting: spending on junk food. [Robert F. Kennedy Jr. favors](#) cutting food stamp spending on junk food, which accounts for almost one-quarter of the program's \$100 billion annual cost. Junk food subsidies make no sense. They should be ended.
- Repeal broadband subsidies. The 2021 infrastructure bill added \$65 billion in broadband subsidies to more than \$100 billion of past broadband subsidies since the 1990s. The [Government Accountability Office](#) reported, "Federal broadband efforts are fragmented and overlapping, with more than 100 programs administered by 15 agencies." This is all waste, as satellite internet service is now available nationwide.
- Eliminate student loan subsidies. The federal government hands out about \$30 billion a year in grants to students for higher education and about \$80 billion in student loans. The subsidies have boosted college and university tuition costs. Also, subsidizing future high-earning college graduates is unfair to people who work, pay taxes, and did not go to college.
- End broadcasting subsidies. The government pays \$535 million a year to the Corporation for Public Broadcasting, which distributes the funds to NPR, PBS, and public radio and television stations nationwide. [Government funding for media](#) is inconsistent with America's free speech values, and any educational benefit of public broadcasting is no longer unique with the rise of vast free educational content on YouTube.
- End rural subsidies. The US Department of Agriculture spends about \$8 billion a year on subsidies for rural housing, utilities, infrastructure, and business

aid. [Subsidizing rural areas](#) is unfair to urban and suburban areas of the nation, which face higher costs for housing. Congress should end rural subsidies and leave rural development to state legislatures.

- End airport subsidies. The federal government spends more than \$4 billion a year on investments in commercial airports, which are owned by state and local governments. This aid is not needed. [Airports have been privatized](#) around the world, including about half of Europe's major airports. Private airports are funded by market-based revenues such as passenger fees, airline fees, and retail concessions. The federal government should end airport subsidies and encourage the states to privatize their airports.
- End semiconductor subsidies. Congress passed the CHIPS and Science Act in 2022, which provided \$53 billion to the semiconductor industry. The act is a sad reversal of America's free-market leadership in high technology. Our technology

industries have succeeded because of open entry, vigorous competition, venture capital, and bold entrepreneurs—not government subsidies.

- Repeal the sugar program. The federal government imposes supply controls and trade restrictions on sugar, which benefits a small group of sugar producers at the expense of consumers and other businesses. [Sugar policies](#) inflate prices, costing consumers more than \$3 billion annually; induce food manufacturers to [relocate abroad](#); and incentivize the substitution of high fructose corn syrup for sugar.
- Repeal the ethanol program. [Federal policies](#) promoting biofuels have harmed consumers, increased food prices, and caused [environmental damage](#). Ethanol production, largely from corn, diverts resources from food production, which raises prices for [livestock producers and consumers](#). Biofuel policies [worsen carbon emissions](#) through land-use changes and fertilizer pollution.

Cut Federal Aid to the States

The federal government intervenes in many [state and local policy areas](#), such as education, housing, and urban transit with more than 1,300 aid-to-state programs, which are subsidies to the states accompanied by top-down regulations. These [programs will cost](#) \$1.1 trillion in 2025.

This aid system produces waste and irresponsibility. It encourages excessive and misallocated state and local spending, and it reduces accountability for program failures. Aid induces the states to spend more on federally subsidized programs than state residents would favor if they directly footed the bill, and since federal aid is perceived as “free” money to state officials, they often spend it on low-value activities.

Aid programs raise costs and add bureaucracy by imposing regulations for politically driven goals in areas such as labor, environment, and diversity. Federal labor regulations tied to

highway aid, for example, raise wage costs on construction projects by about 20 percent, and environmental regulations add years to the completion of projects.

The incoming Trump administration and Congress should cut state aid and allow the states to fund their own programs to match local preferences. Since state and local governments must balance their annual budgets, they make more responsible trade-offs between the benefits of spending and the tax costs. Currently, [state governments](#) have record-high budget reserve accounts.

Reform-minded Republicans have sought to limit aid for decades. In the 1980s, President Ronald Reagan [consolidated some aid programs](#) and turned them into block grants. Then in 1996, the Republican Congress reformed welfare using the block grant approach. Block grants allow the federal government to control spending while freeing states from federal regulations. The Trump administration should aim to

repeal aid programs, but short of full repeal, it should convert programs to block grants and cut spending.

Reagan noted in a [1987 executive order](#), “Federalism is rooted in the knowledge that our political liberties are best assured by limiting the size and scope of the national government.” The way to do that is to cut aid to the states and the web of regulations accompanying it.

The federal government should do the following:

- End K–12 [public school subsidies](#). President Reagan called the [Department of Education](#), “Jimmy Carter’s new bureaucratic boondoggle.” Decades of experience have shown that top-down subsidies and regulations for the nation’s K–12 public schools have failed. The future of K–12 is state-driven school choice, the case for which was bolstered by pandemic-era public school shutdowns. The time is ripe to zero out federal aid for public schools to save more than \$30 billion a year.
- End [public housing and rental subsidies](#) and privatize public housing. The Department of Housing and Urban Development (HUD) hands out \$55 billion a year for public housing and rental aid. This spending should be zeroed out, and public housing should be privatized.
- End [community development subsidies](#). HUD hands out \$21 billion a year to cities and counties for street projects, business subsidies, arts facilities, and more.

Local governments and the private sector should fund these activities.

- End [urban transit subsidies](#). Many urban rail systems attract few riders and cost far more than promised. Locally funded bus systems are a more efficient solution for moderate-income commuters. The federal government should zero out \$20 billion a year in federal subsidies for urban transit.
- End Environmental Protection Agency (EPA) subsidies. The EPA provides more than \$10 billion a year in subsidies to the states for local infrastructure such as water systems. But every state knows that such infrastructure is crucial, which is why states should fund it using their own taxes and fees.
- End [school lunch subsidies](#). The school lunch and breakfast programs cost federal taxpayers more than \$30 billion a year. Local administrators have little incentive to stem abuse of the program’s eligibility because the benefits are paid with “free” money from Washington. The states should pursue their own child nutrition strategies without top-down federal programs.
- [Block-grant Medicaid](#). This health program has grown explosively because the federal government subsidizes state program expansion in an uncontrolled manner. The federal government could save \$150 billion a year within a decade by converting Medicaid to a block grant and limiting growth to inflation.

Rein in Emergency Spending

Emergency spending is out of control. Congress has designated nearly \$12 trillion as [emergency-related spending](#) since 1992, circumventing statutory spending limits and enabling inflationary deficit spending. Moreover, reliance on emergency designations and powers is growing, with emergency funds accounting for 12 percent of total budget authority over the past decade. Prior emergency responses, even when unwise, end up justifying

future emergency expenditures. This puts the United States in a perpetual state of emergency. Congress and the administration should rein in emergency spending.

Emergency spending surges, such as during the Great Recession and COVID-19 pandemic, are often initiated before the full scope of the emergency is fully understood, exacerbating waste, fraud, and abuse. At least \$1 in every \$10 of [pandemic relief funds](#) was estimated to have been

stolen, wasted, or misspent. Furthermore, tens of billions of [emergency funds](#) are regularly misused for predictable, nonemergency priorities, such as annual law enforcement salaries. This violates statutory criteria for emergency designations: necessary, sudden, urgent, unforeseen, and temporary. This [erosion of fiscal norms](#), in which emergency spending is paid for with borrowed funds to be repaid later, undermines the financial credibility of the United States and brings America closer to a fiscal crisis. A more prudent approach to emergencies would be limited, targeted fiscal measures that are offset with spending cuts to low-priority programs.

The current federal disaster relief system is a bloated mess with a [patchwork of agencies](#) that poorly handle overlapping responsibilities. The result is waste and the crowding out of state, local, and private organizations that would otherwise provide for those directly affected by disasters. Moreover, the existing [disaster framework](#) creates a moral hazard by covering any catastrophic costs that arise from living or developing property in high-risk areas, thus shifting the financial risk from property owners to taxpayers. This misalignment of incentives leads to escalating costs and repeated bailouts, undermining disaster preparedness, subsidizing dangerous living patterns, and promoting fiscal irresponsibility.

Congress should do the following:

- [Offset emergency spending](#) by establishing a budgetary mechanism requiring any emergency funding be paid for with immediate or future spending cuts over a 5- to 10-year window.
- Raise emergency spending [voting thresholds](#) by increasing the number of votes required to waive Senate points of order against emergency designations from three-fifths to three-fourths.
- Restrict presidential [emergency declarations](#) to 30 days unless reauthorized by Congress.
- Remove emergency spending from the [budget baseline](#).
- Require [legislators to justify](#) how new emergency

expenditures meet existing emergency criteria.

- Regularly track and report on emergency spending.
- Rescind any remaining unobligated COVID-19 funding.
- Eliminate the [Federal Emergency Management Agency](#) (FEMA). Barring full repeal,
 - cut spending, including by ending future spending on disasters that occurred five years in the past or earlier, and
 - change the default cost-sharing ratio for FEMA's Disaster Relief Fund so that states pay for a larger share of the costs of disaster and recovery activities.
- Privatize the [National Flood Insurance Program](#).
- Avoid enacting federal anti-price gouging laws. Allowing prices to adjust in response to changes in market conditions guarantees that goods and services demanded in disaster zones are allocated efficiently to those in greatest need.
- Eliminate the [Small Business Administration](#).
- Eliminate most of the more than [30 federal entities](#) involved in disaster recovery and consolidate only those narrowly defined legitimate federal functions into a single agency.

The president should do the following:

- Direct a government-wide review of all disaster-related programs to identify overlap and eliminate redundant or low-performing initiatives.
- Make [National Emergency Act expenditure reports](#) more detailed and publicly available.
- Reject appropriations bills that contain phony emergency designations.
- In the event the president requests an emergency supplemental package, he should,
 - justify why each emergency provision meets statutory criteria for emergencies, and
 - offer rescissions to offset new emergency expenditures.

End Noncitizen Access to Means-Tested Welfare, Entitlements, and Tax Credits

The American welfare state provides many benefits to native-born Americans and some immigrants who qualify. Total government spending (federal and state) on welfare amounted to about \$3.1 trillion in 2022, the most recent year in which we can separate welfare consumption by natives and immigrants in the data. That year, the federal government spent roughly \$2.8 trillion on welfare and entitlement programs, equal to approximately 45 percent of all federal outlays. Over \$2 trillion of federal expenditures went to Social Security and Medicare, and the other \$784 billion funded means-tested welfare benefits. The states spent an additional \$255 billion on means-tested welfare programs.

We [estimate that immigrants](#), including naturalized and noncitizens, individually consumed an average of \$8,246 in benefits in 2022 compared to \$10,405 for native-born Americans, or 21 percent less—consistent with earlier research. Altogether, noncitizens (as opposed to naturalized immigrants) consumed about \$126.2 billion in all means-tested, entitlement, and certain tax credits in 2022, or about \$4,944 per capita. Although immigrants have a [positive net fiscal impact](#) in the United States, noncitizens should not have access to welfare programs before they are naturalized. Ending noncitizen access to welfare would save US taxpayers approximately \$126.2 billion in the first year.

The federal government should do the following:

- [Extend current federal laws](#) to bar all noncitizens from accessing means-tested welfare programs, entitlement programs, the child tax credit, and the earned income tax credit.
- Congress should enact the [Safeguarding Benefits for Americans Act of 2024](#) (H.R. 7772) to end noncitizen access to federal assistance.

If the above legal changes cannot be made, executive branch agencies, such as the Department of Agriculture,

the Department of Homeland Security, the Social Security Administration, and the Department of Health and Human Services, should do the following to reduce noncitizen access to welfare:

- Affirm that states are not required to provide [federal benefits](#) to qualified aliens after five years of residence and request that states annually affirm that they will be choosing to provide qualified aliens benefits for benefits under 8 U.S.C. § 1612(b) since almost all states are currently exercising their option to [provide benefits](#).
- Define “federal means-tested public benefits” for purposes of the Personal Responsibility and Work Opportunity Reconciliation Act of 1996 (PRWORA) to include all discretionary [means-tested public benefits](#) since the term is not defined by statute, overturning [63 Fed. Reg. 36653](#), [62 Fed. Reg. 45284](#), and [62 Fed. Reg. 45256](#). That would exclude noncitizens from access to these programs unless they were “qualified aliens” (generally, legal permanent residents with five years of residence).
- Clarify that parolees are only eligible for benefits [under the PRWORA](#) if they:
 - are *currently* paroled with at least one year remaining on their parole, rather than anyone who was ever paroled for at least one year;
 - entered the United States *as a parolee* as [required by law](#) (rather than released from custody as a parolee); and
 - have maintained parole status continuously for five years.
- Redefine “lawful presence” under [8 C.F.R. 1.3](#) for the purposes of applying for Social Security benefits to exclude asylum applicants, U Visa applicants, and deferred action and deferred enforced departure recipients.
- Redefine “lawfully present” under [8 C.F.R. § 155.20](#)

to exclude individuals receiving employment authorization, adjustment of status applicants, asylum applicants, U Visa applicants, special immigrant juvenile applicants, and deferred action and deferred enforced departure recipients.

- Finalize [84 Fed. Reg. 20589](#) to exclude ineligible noncitizens from serving as leaseholders in public housing.
- Rescind [89 Fed. Reg. 39392](#), which created eligibility for Deferred Action for Childhood Arrivals, or DACA, recipients to receive health care tax credits.
- Prohibit all non-Supplemental Nutrition Assistance Program (SNAP) federal means-tested benefits to those who are “qualified aliens” if they have

never “entered into the United States” as a *qualified alien* (i.e., individuals who adjusted their status to a qualified alien would not qualify) as required by [8 U.S.C. 1613](#).

- Deny SNAP applications that include ineligible noncitizens, rather than allowing them to withdraw and edit the application—overturning [7 C.F.R. 273.2\(f\)\(1\)\(ii\)\(A\)](#).
- Require state and federal implementing agencies to use *in-person* photo identification for all noncitizens requesting public benefits (amend [7 C.F.R. § 273.2](#) and [42 C.F.R. § 435.907](#)).
- Require states and agencies to require biometric identity verification for any noncitizen public benefits use.

Reform the Tax Treatment of Health Care

In a free market, consumers would control 100 percent of health spending. The government would control 0 percent. In the United States, the government controls 84 percent of [health spending](#). That’s one of the highest shares among advanced nations. It’s just 5 percentage points behind [communist Cuba](#). The result is that the health sector does what the government and special interests want—not what consumers want.

At more than \$1 trillion per year, the largest source of compulsory health spending is [employer-sponsored health insurance](#). The federal tax code effectively compels workers to let their employers control a sizeable chunk of their compensation, about \$18,000 of the average family’s earnings, and their choice of health plan.

This regressive policy makes health care less universal. It increases health care prices by reducing price competition. It reduces health care quality by penalizing delivery innovations, such as electronic medical records and care coordination. It reduces health insurance

quality by compelling workers to purchase coverage that predictably and routinely disappears after patients get sick, leaving them with uninsurable preexisting conditions. These burdens fall hardest on the most vulnerable patients.

Tax-free universal health accounts (UHAs) would return that \$1 trillion to the workers who earn it and restore workers’ freedom to make their own health decisions. UHAs would make health care more universal—better, more affordable, more equitable, and more secure.

The [federal government](#) should do the following:

- Replace all health-related tax preferences with a single income- and payroll-tax exclusion for deposits into worker-owned, tax-free UHAs.
- Set UHA deposit limits for individuals and families at levels that achieve revenue neutrality.
- Allow patients to use UHA funds to purchase any health insurance plan from any source, tax-free.

End Multilateral Tax Agreements and Defund the OECD

President Biden's Treasury Department has been the key driver of the Organisation for Economic Co-operation and Development's (OECD's) project to create a [global tax system](#) that raises the cost of international investment, targets America's most profitable companies with higher taxes, and allows China to game the system.

This sprawling effort [comprises two pillars](#), which, taken together, threaten higher and more complicated taxes.

[Pillar One](#) redistributes hundreds of billions of multinational corporate profits to countries based on customer location, regardless of a company's physical location—upending critical protections against extraterritorial taxation.

[Pillar Two](#) consists of a series of new complicated rules that enforce a global minimum tax of 15 percent and [undermine the economic success](#) of the 2017 Trump tax cuts.

As the minimum tax is implemented around the world, it is clear that the Biden administration negotiated a bad deal for American businesses, their employees, and the US Treasury. For example, the Pillar Two minimum tax will likely cost [businesses and the global economy](#) more than the levy will raise in new revenue, and the rules explicitly seed power to China's model of state-subsidized enterprises. There are actions that Congress and the president can take to counteract the OECD's efforts to raise taxes on American businesses and construct an international tax cartel.

Congress should do the following:

- [Cut US funding](#) for the Part 1 core budget and Part 2 voluntary contributions to the OECD.
- Instruct the president to immediately notify the OECD and France, its depository government, that the [United States will terminate the application](#) of the [Convention on the OECD](#) and the convention's protocols.
- Repeal the [Foreign Account Tax Compliance Act](#) of 2010.
- [Exempt all foreign-sourced income](#) from US tax laws.

The president should do the following:

- Notify tax treaty partners that the United States considers the Pillar Two rules to violate existing treaty language.
- [Repeal country-by-country reporting](#) regulations and stop taxpayer information exchange programs with any country implementing Pillar Two.
- [Withdraw from the protocol amending](#) the Multilateral Convention on Mutual Administrative Assistance in Tax Matters on bulk taxpayer information exchange.